



MERIDIAN FABRICATION LLC

Precision Contract Manufacturing — Automotive & Aerospace Components · 2750 Fabrication Drive · Columbus, OH 43204 ·

EIN on file

COVENANT COMPLIANCE CERTIFICATE — fiscal quarter ended March 31, 2025

COVENANT COMPLIANCE CERTIFICATE

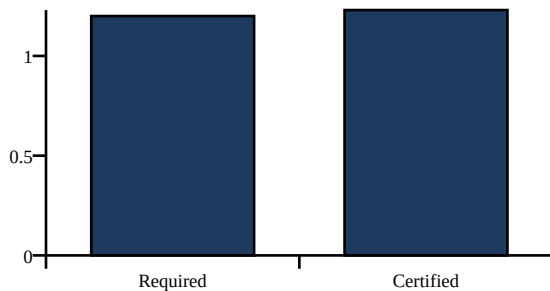
Delivered pursuant to Section 6.02(a) of the Credit Agreement dated March 31, 2022 (as amended by the First Amendment dated November 8, 2024) between Meridian Fabrication LLC (the “Borrower”) and Centerline Bank, N.A., as lender. Facility: \$8.5M senior secured (term loan plus revolving line), SOFR + 2.75%, maturing March 31, 2027.

The undersigned, the Chief Financial Officer of the Borrower, solely in such capacity and not personally, hereby certifies on behalf of the Borrower that: (a) the financial statements delivered herewith fairly present in all material respects the financial condition of the Borrower; (b) no Default or Event of Default has occurred and is continuing; and (c) the financial covenant calculations set forth below are true and correct as of the Calculation Date.

Section A — Financial covenant summary

Covenant (\$)	Required	Certified	Headroom	Status
6.10(a) Minimum DSCR	$\geq 1.20x$	1.23x	0.03x	In compliance
6.10(b) Maximum Total Net Leverage	$\leq 4.00x$	3.76x	0.24x	In compliance
6.10(c) Minimum Liquidity	$\geq \$2,000k$	\$2,310k	\$310k	In compliance
6.10(d) Maximum Capital Expenditures (FY)	$\leq \$4,500k$	\$3,180k	\$1,320k	In compliance

DSCR — required vs certified (x)



Section B — Adjusted EBITDA build (TTM) — bridge from GAAP

Net income (GAAP)	2,700
+ Interest expense	3,100
+ Income tax	900
+ Depreciation & amortization	3,400
Reported (GAAP) EBITDA	10,100
+ Non-recurring legal & restructuring (\$1.01 permitted)	800
+ Owner / management compensation normalization	700
+ Non-cash equity compensation	300
+ Pro-forma run-rate cost savings (run-rate basis)	200
Adjusted EBITDA (as certified)	12,100

Section C — Leverage & debt-service detail

Revolving line of credit (drawn; \$3,500 limit)	2,975
Current portion of long-term debt	4,200
Long-term debt (term loan, equipment notes & capital leases)	38,275
Total funded debt	45,450
Less: unrestricted cash	(0)
Total net debt	45,450
Total Net Leverage = Net debt / Adjusted EBITDA	3.76x
Cash interest paid (TTM)	3,100
Scheduled principal amortization (TTM)	6,700
Total debt service (TTM)	9,800
DSCR = Adjusted EBITDA / Total debt service	1.23x

Section D — Notes & explanation of variances

Revenue declined approximately 13% year-over-year on continued automotive-OEM order softness; two Tier-1 automotive customers moved to extended (75-day) payment terms at year-end, accounting for the majority of the 61–90 day receivables. The non-recurring legal & restructuring add-back (\$800k) relates to a supplier contract dispute settled in Q4 2024. Owner/management compensation normalization (\$700k) adjusts above-market compensation paid to the managing members to a market rate consistent with §1.01. Revolver utilization rose to 85% of the line, primarily to fund a working-capital build; management expects the aerospace subassembly program to provide a recovery inflection as the related firm purchase order converts to shipments in the second half of 2025.

Capitalized terms have the meanings assigned in the Credit Agreement. EBITDA adjustments are limited to add-backs permitted under the definition of “Adjusted EBITDA” in §1.01.

Appendix A — Scheduled debt amortization (next four quarters)

Period	Principal	Interest	Total	Ending balance
Q2 2025	1,675	760	2,435	40,800
Q3 2025	1,675	740	2,415	39,125
Q4 2025	1,675	720	2,395	37,450
Q1 2026	1,675	700	2,375	35,775

IN WITNESS WHEREOF, the undersigned has executed this Certificate as of the date written below.

David Kwan

David Kwan · Chief Financial Officer · Date: April 18, 2025
Meridian Fabrication LLC · Calculation Date: March 31, 2025